

Leadership

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BACKGROUND AND MOTIVATION

The Role of Leadership

- Entrepreneurs identify opportunities, mobilize resources, **execute on their vision** and manage risks.

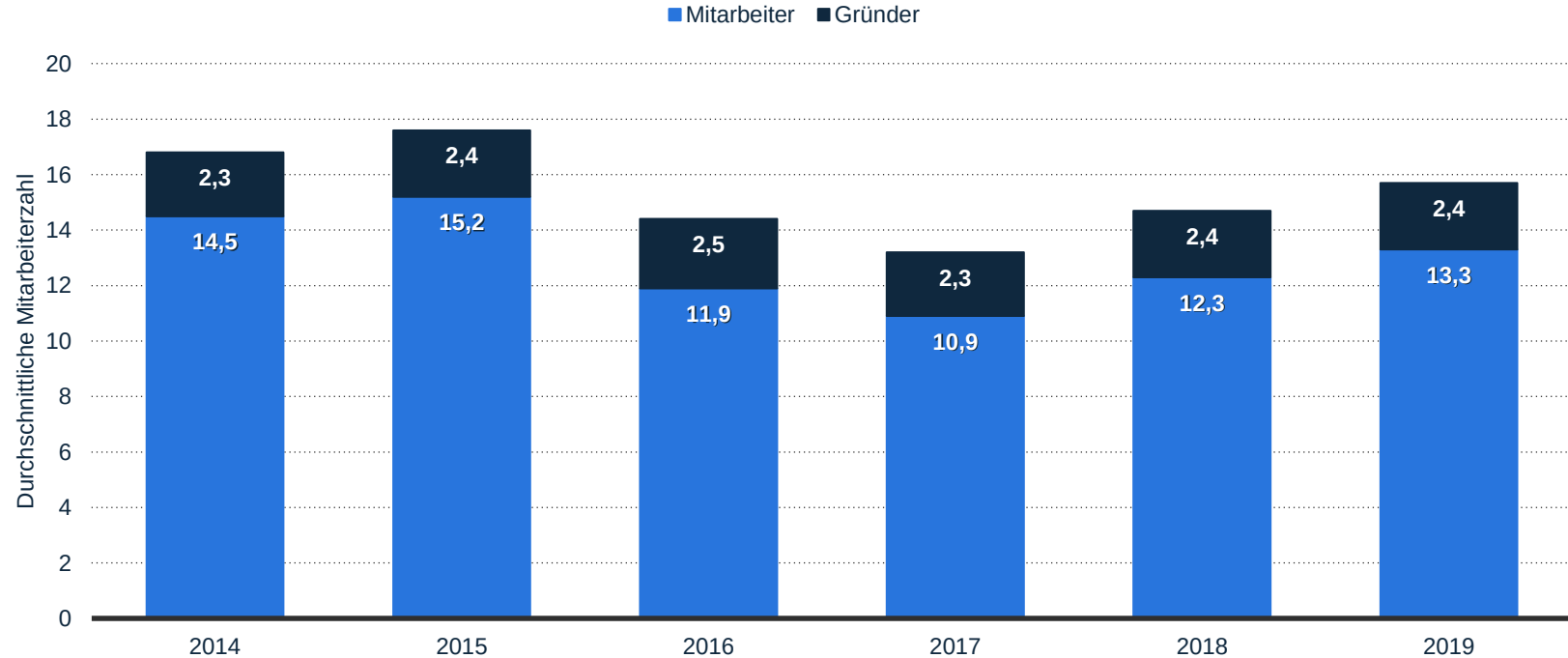
Inspired by Byers et al. (2011), Pos. 497

- Good leadership is the moment of truth: **Do other people want to participate in the vision and strategy?** Or do they remain just empty dreams?

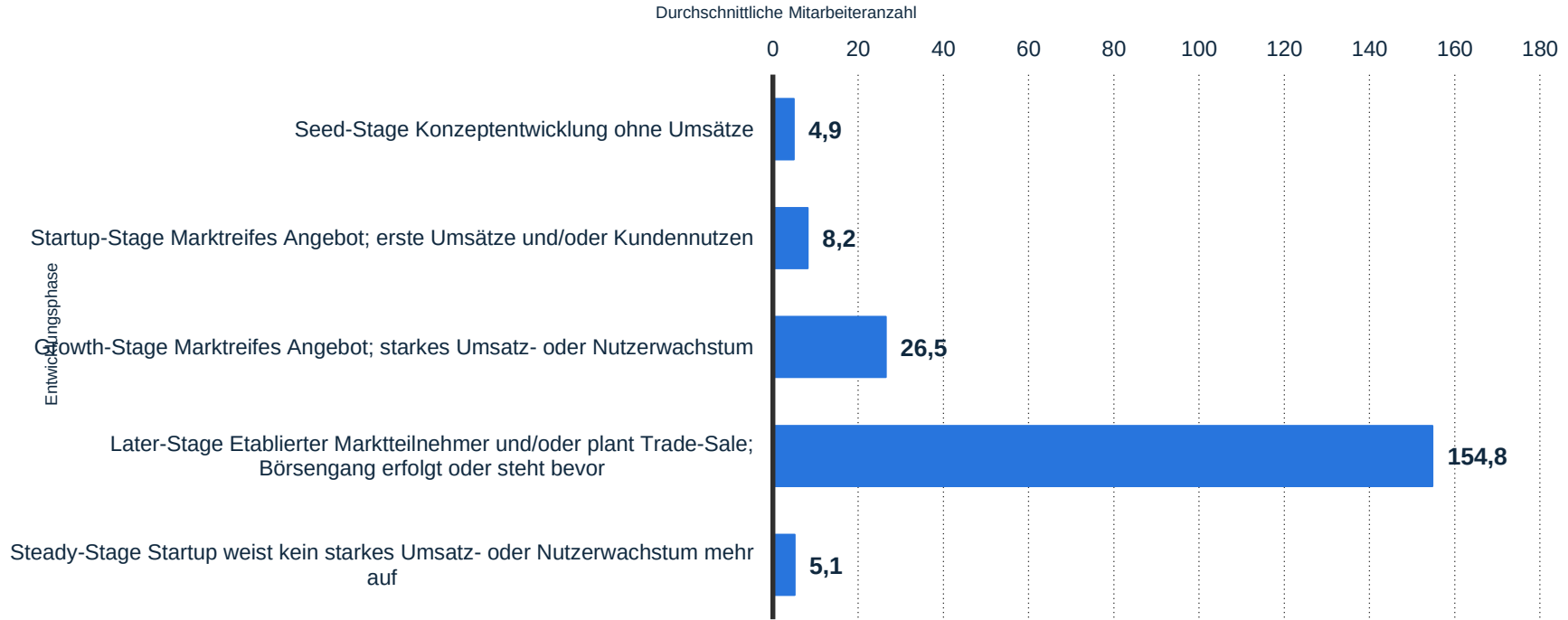
Merath (2017), p.14



Average number of employees of startups in Germany



Average number of employees by development phase (2016)



Average gross annual salary by occupational group (2016)

Beruf	Berlin	Median	München
Softwareentwicklung Mobile	35.132€	36.930€	47.219€
Softwareentwicklung Frontend	35.586€	37.535€	47.474€
Softwareentwicklung Backend	39.300€	40.552€	48.533€
Gestaltung / Grafik	26.945€	27.465€	36.703€
Business Development	39.661€	40.019€	52.112€
Online Marketing	31.849€	32.069€	39.384€
Außendienst, Dienstleistungen, Sales Management	47.230€	48.937€	57.335€
Geschäftsführung mit PV	58.764€	61.334€	73.669€
Social Media Manager / Content Manager	30.849€	31.069€	38.384€
IT-Leiter	50.312€	51.185€	62.408€



I invest in **management**, not **ideas**.

Eugene Kleiner

Leadership is **organizing a group of people** to achieve a **common goal**.

A leader is somebody whom people follow, **somebody who guides** or directs others.

(Terzidis 2019, inspired by Gabler Wirtschaftslexikon)

BUILDING AN ORGANIZATION

Building an Organization

The specificity of the entrepreneur is to implement an innovation.

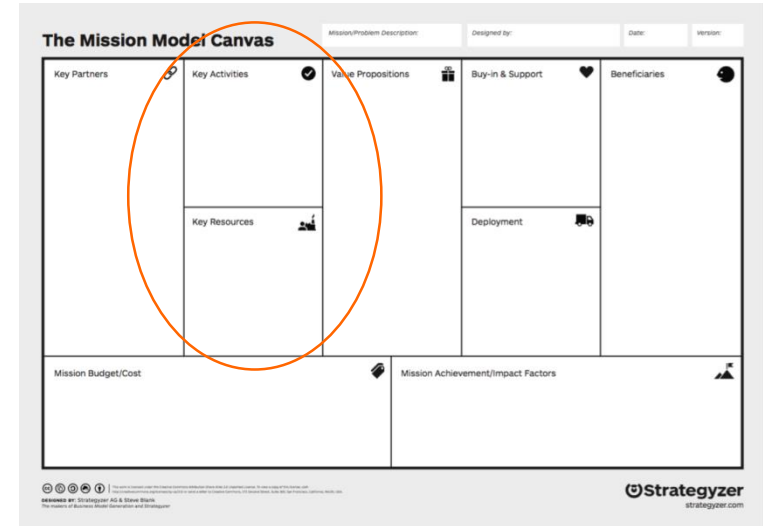
(Schumpeter 2017, p. 129)

This is only possible with a business organization.

(Shane 2003, p. 220)

Organizational design is about leadership and management; selection, training, and compensation of its talent (people); shared values and culture; and structure and style.

(Dorf & Byers, Pos. 5828)



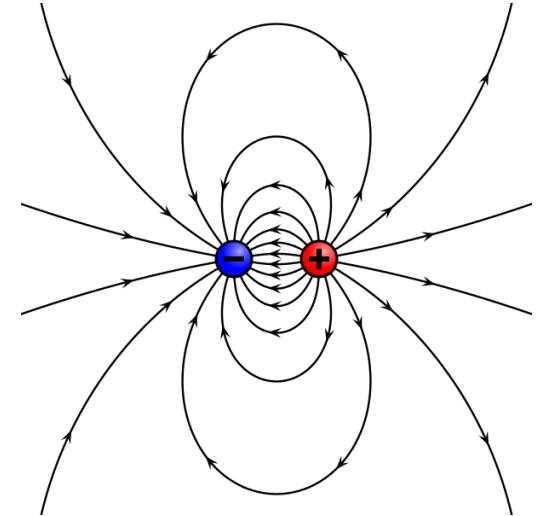
Organizing balances two opposing tasks

Organizations create results within a tension field:

- Distribute tasks and processes to people, material and equipment. This is called: **division of labor** or differentiation.
- Bring together the different elements, and align them with the higher organizational goal. This is called **coordination** or integration.

“We speak of organizing or organization when various, initially independent acts are put into a purposeful [system and] sequence, thereby achieving „rational“ results.”

Weick, 1985:11 (following Kühl 2013).



Characteristics of a Modern Organization

In the systemic view, modern organizations have three characteristics

(Luhmann, 1995, from Kühl 2013, p. 10):

- Membership
- Goals
- Hierarchies

Organizations have Decision-Making Autonomy: they have the ability to reach their own decisions about their members, their goals, and their hierarchies.



Membership

- Contrast: pre-modern organizations like village, monastery, guilds. Membership structured life entirely.
- Today: loose multi-memberships, being part of a sports club, having a job in a company, being member of an NGO, but also your own family, etc.
- In early stage startups, employees are typically young and are fully committed.
- Membership is a conscious decision of the member and the organization.
- If someone does not play by the rules s/he can also be excluded. So you can foresee how members act.

Goals

- Goals set within the strategy play a central role.
- Companies produce goods in the form of products and services to meet the needs of the customers and to generate a living for employees and profits for the owners.
- Organizations have several, partially contradicting goals
 - Flexibility vs. Efficiency
 - Happy employees vs. happy customers vs. happy investors
 - Innovation speed vs. Quality
 - ...

Hierarchy

- Organizations have some form of hierarchical structure. According to our legal frameworks, the owners of a company have the last word.
- Among other aspects, a hierarchy is a mechanism for the resolution of conflicts: a decision is taken to the next higher level until the hierarchy spans the two conflicting poles (ultimately at the CEO level).
- Important domains of western societies have been „de-hierarchized“: science, art, democracy. This also leads to a different attitude in the context of organizational hierarchies. (Kühl 2013, Weber, 1976, p. 125, Luhmann, 1997, p. 834)

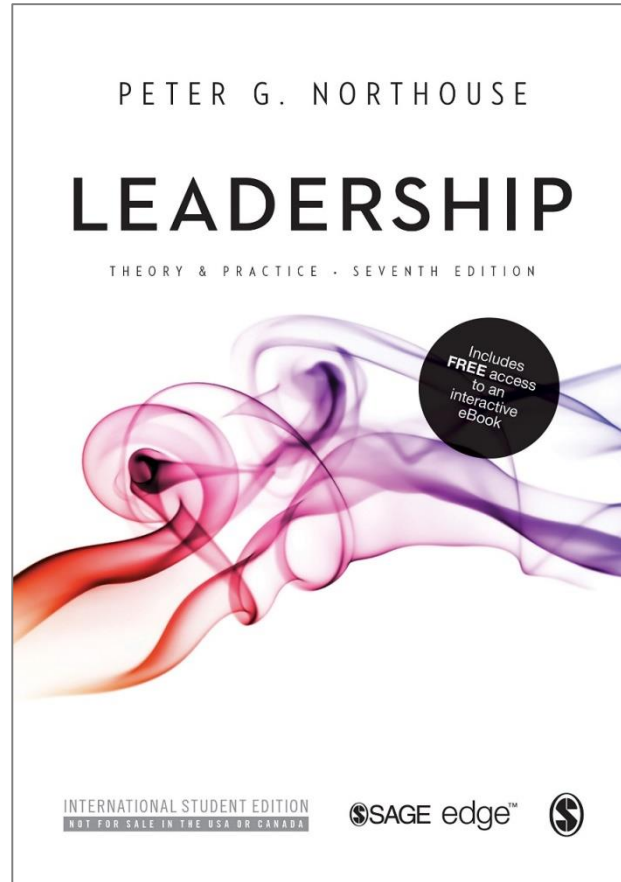
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LEADERSHIP IN THEORY & PRACTICE



Northouse, Peter Guy (2016): Leadership. Theory and practice. Seventh edition, international student edition. Los Angeles, London, New Delhi, Singapore, Washington DC, Boston: Sage (SAGE edge).

 **Basic Assumption:** Certain people were born with special traits that make them great leaders (Leader-centered approach).

Research Findings

Traits that are related to leadership:

Intelligence, Self-confidence, Determination, Integrity, Sociability, Emotional Intelligence

Five Factor Personality Model Dimensions that are related to leadership:

high extraversion, high conscientiousness, high openness, low neuroticism, high agreeableness

Strengths/Weaknesses

(-) Studies mainly analyze the trait-differences between leaders and non-leaders, but miss to link those traits to other outcomes like group or team performance

Skills Approach

 **Basic Assumption:** Leadership can be developed and learned by individuals. (Leader-centered approach). Thinking is shifted from innate and largely fixed characteristics to abilities that can be developed and learned.

Research Findings

Skills that are related to effective leadership:

Problem solving, social judgment, knowledge

The skills are linked to the following outcome variables:

Performance indicators and effective problem solving

Strengths/Weaknesses

- (+) Studies link skills to outcomes like performance and effective problem solving.
- (+) Important as basis for leadership education, because the approach proposes that leadership can be developed and learned through job experience and training.

Leader-Member Exchange Theory

 **Basic Assumption:** Leadership is a process that is centered on the interactions between leaders and followers. Before that, leadership was treated as something leaders do to their followers.

Research Findings

There are two types of relationships between leaders and followers.

In-group relationship: Marked by mutual trust, respect, liking and reciprocal influence

Out-Group relationship: Marked by formal communication based on job description

In-group relationship are linked to outcome variables: **less employee turnover, promotions, faster career progress, job performance, greater organizational commitment and better job attitudes.**

Strengths/Weaknesses

(-) Variables like job promotion and faster career progress should be questioned concerning their overall effectiveness of the organization. The inequalities created by the use of in-groups can e.g. have negative impact on the performance of out-group members.

(+) Studies empirically link high quality relationships between leaders and followers with outcome variables

Transformational Leadership

 **Basic Assumption:** Effective Leadership is a process that transforms people. Followers and leader are inextricably bound together in this transformation process.

Research Findings

4 I's of transformational Leadership: **idealized influence, inspirational motivation, intellectual stimulation, individualized consideration.**

Outcome variables:

- **Transformational leaders are perceived to be more effective leaders with better work outcomes.**
- **Followers accomplish more than what is usually expected, enhanced employee's performance, company profit, acquisition acceptance, job satisfaction, work engagement**

Strengths/Weaknesses

- (+) Strong body of empirical research
- (+) Focus on intrinsic motivation and follower development, which fits the needs of today's work groups who want to be inspired and empowered to succeed in times of uncertainty.

Servant Leadership

 **Basic Assumption:** Effective Leaders are attentive to the needs of followers, empower them, and help them develop their full human capacities (Follower centered). *They serve first.*

Research Findings

7 Behaviors of Servant Leaders:

Conceptualizing, emotional healing, putting followers first, helping followers grow and succeed, behaving ethically, empowering, creating value for the community

Outcome variables:

Follower performance and growth, organizational performance, societal impact

Strengths/Weaknesses

(-)The theory has a utopian ring that conflicts with traditional approaches

(+)Counterintuitive but unique approach, that makes altruism the main component

(+)Empirically links servant leadership to different outcome variables

Globe Study

 **Sample:** 17.000 managers in more than 950 organizations, representing 62 different cultures throughout the world were asked for desired leadership behaviors and desired leadership attributes

Research Findings

Desired Leadership behaviors in most cultures:

visionary, inspirational, self-sacrificing, trustworthy, decisive, and performance oriented

Universally desired leadership attributes:

high in integrity, charismatic/values based, and has interpersonal skills

Strengths/Weaknesses

(+) very strong body of findings based on a huge cross-cultural sample

(-) Reflecting the opinion rather than effectiveness

Distillate of Empirical Evidence

Effective leaders are **decisive**, **social** and **morally grounded** individuals, who **inspire their followers** through a **values based vision**.

Furthermore they **listen to the follower's needs** and **understand their values** to **create a demanding but also supporting field** that **fosters personal growth of the followers**.

Effective relationships between leaders and followers are based on **mutual trust**, **respect**, **liking** and **reciprocal influence**.

PRINCIPLES OF EFFECTIVE LEADERSHIP

Principles of Effective Leadership

Result orientation

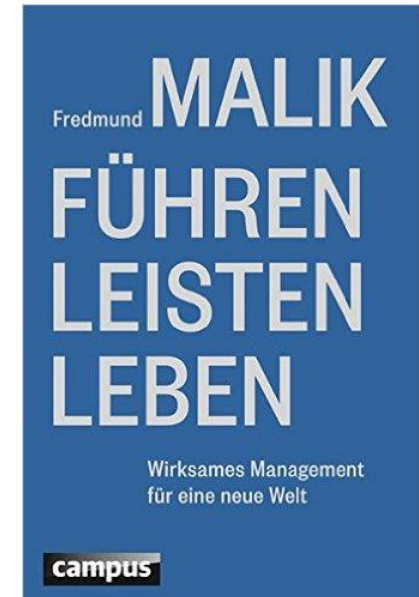
Contribution to the whole

Focus on few things

Use strengths

Trust

Think positive



Result Orientation

- In Management, the only thing that matters are results.
- It is not the input that matters, but the output.
- The nature of the result depends on the purpose of the organization.
- In professional life, it is often more about duty than about fun.
- This is a management principle, not necessarily a life principle.



Contribution to the Whole

Ask three masons what they do:

- “I am earning my living.”
- “I am the best mason in town.”
- “I am building a cathedral.”

Holistic thinking is important, having the collective goal in mind.

The principle is key to sustainable motivation.

What matters is what you contribute – within the company and within the value creation network.

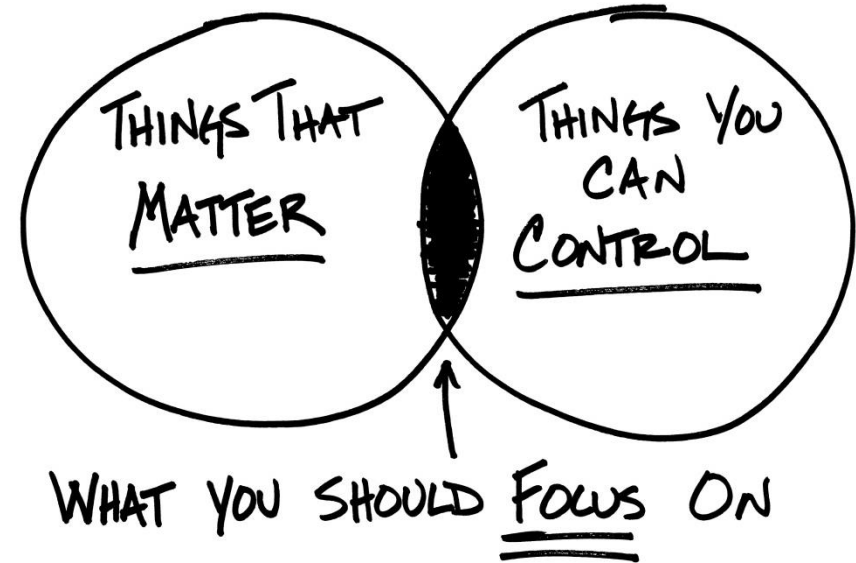


Focus on Few Things

- Being effective demands focus on a core challenge instead of dissipating your energies.
- George A. Miller (Psych. Review 1956, 63, p. 81-97): **7+-2 chunks**

Applications

- Time management
- Management by Objectives
- Knowledge Team Productivity



BEHAVIOR GAP

Use Strengths

- The fixation on weaknesses is a dead end.
- It takes time and patience to observe strengths of team members: What is easy for a team member?
- Only if you assign tasks that match with strengths, there will be good motivation and performance.
- Deficits in knowledge, skills, attitudes and habits can be changed; individuality cannot.



Create Trust

- We all do management mistakes. A team needs trust to overcome this and live a robust relationship.

Example: Fault management

- Your teams mistakes are your mistakes.
- Your mistakes are your mistakes.
- Integrity, consistency, reliability and authenticity are key.



Think Positive

- Positive or constructive thinking is key.
- See opportunities rather than problems.
- Be proactive.
- Give your best.



TASKS OF EFFECTIVE LEADERSHIP

Tasks of Effective Leadership

- Create goals
- Organize
- Decide
- Monitor
- Develop people

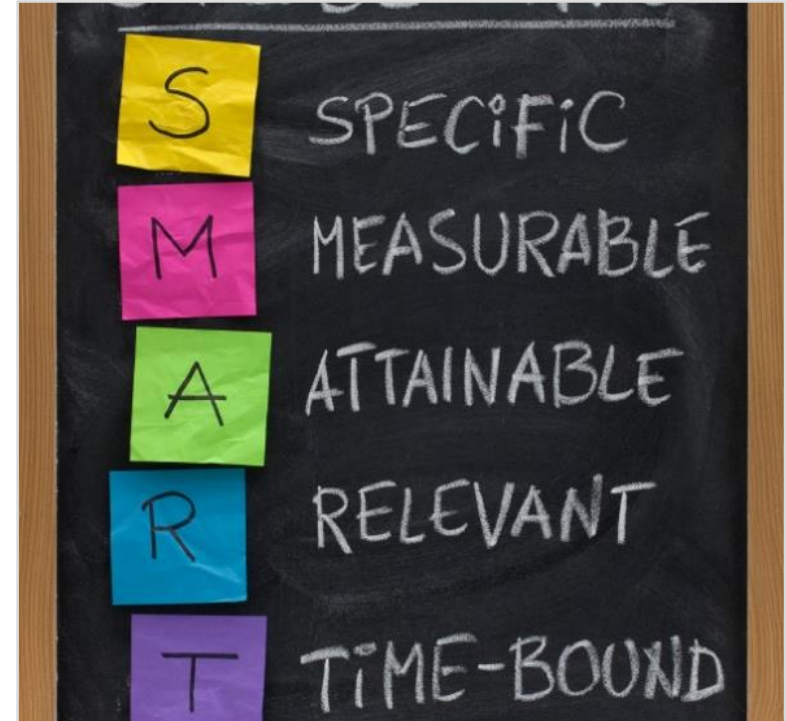


Create Goals

- Distribution of tasks
- Go into an individual discussion.
- Goals are the **most effective vehicle to understand each others expectations.**

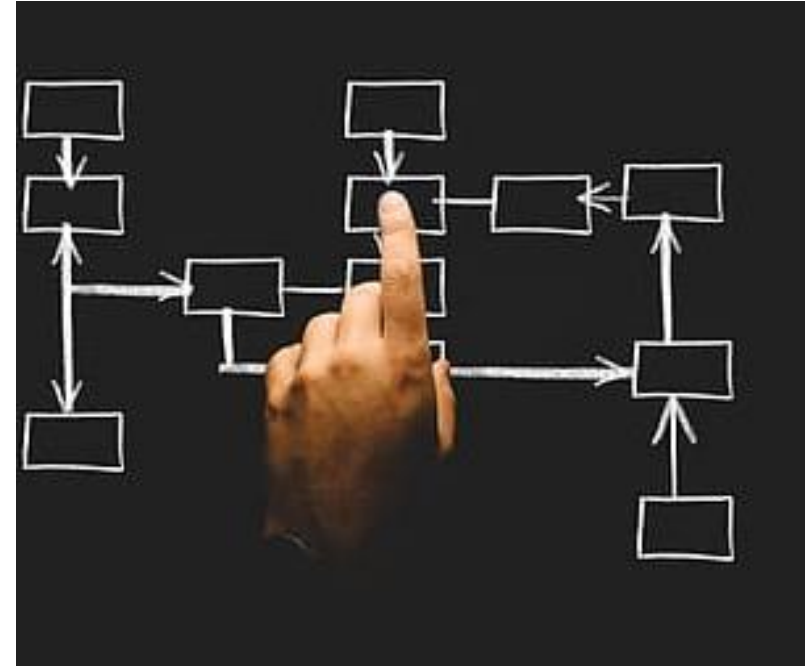
What kind of goals?

- SMART
- Start-ups: hard and short term.
- Examples: product development, sales, staffing, cash flow.



Organize

- Divide labor into meaningful units, distribute the tasks and communicate the set-up to everybody.
- Define business processes and structures (typically an organizational chart).
- Define roles and responsibilities and assign tasks and processes to distinct team members.
- In the seed and startup phase, the organization is 'fluid'.
- „There is no such thing as a good organization.“



Decide

- A decision is a specific **commitment to action** (usually a commitment of resources).

Mintzberg (1976)

- It is the selection of an **action** from a set of available **alternatives**, with an intentional accent, taking into account possible environmental conditions.

Gabler Online Wirtschaftslexikon



Decision Process

1. Precise definition of the problem
2. Specification of the requirements & criteria the decision has to fulfill
3. Working-out the alternatives (all alternatives!)
4. Analysis of risks and consequences of all alternatives; setting limitations
5. Making the **decision**
6. Implementation plan
7. Establishment of feedback-loops: Follow-up and follow-through



Monitor Results

Basic trust is key!

Monitor

- Keep it to the minimum!
- Sampling not exhaustive control
- Encourage early reporting of problems
- Controlling pending issues
- You do not always have to react immediately
- Monitoring must be individual.



Develop People

- People are the single most relevant resource for organizations.
- Everyone learns and develops differently.
- Greater tasks are greater recognition!
- Leaders help others to grow!
- Develop strengths! Do not try to teach a fish how to fly!



Tools of Effective Leadership

- Meetings
- Reports
- Job Design
- Personal working methodology
- Budget
- Performance assessment
- „Waste disposal“



By their Actions, Leaders Create a Culture

What are leaders doing to introduce or enforce values?

- Where do they pay attention?
- What are they controlling?
- Where do they invest resources?
- What do they acknowledge?
- How do they recruit/select?

Amplifiers are related to product design, processes, structures, rituals, interior design, myths, publications.



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Thank You!

